

# SIMATS ENGINEERING

## ASSESSMENT TOOL 1

**COURSE NAME:** Artificial Intelligence

**COURSE CODE:** CSA17

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### COURSE OUTCOME COVERED

**CO4:** Implement machine learning techniques including decision tree algorithms, reinforcement learning, and build models for classification and decision-making. (BL3)

*Assessment Tool Weightage: 50%*

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**QUESTIONS: 4**

**Duration: 1 Hour**

**Total: Marks:40**

Annexure A

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### **Code of Conduct:**

I \_\_\_\_\_ (Name / Reg No) certify that this submission is my original work and that I have adhered to the guidelines specified for this assessment.

*I understand that any violation of academic integrity rules will result in disciplinary action.*

**Signature of the student:**

## INDUSTRY PROBLEM TASK

### INDUSTRY SCENARIO

**Context:** A telecom operator has collected network records (signal strength, packet loss rate, call drop count, tower load, weather conditions) to build a predictive model for identifying likely network faults. The operator also wants to train an AI agent to recommend self-healing actions (Reroute Traffic / Restart Node / Increase Bandwidth / Monitor) based on the network's condition over time.

*You are hired as an AI/ML Engineer. Address the following tasks:*

#### **Task 1: Data Preparation & Inductive Learning**

- (a) Describe the inductive learning approach suitable for this telecom dataset. Identify the target variable and at least three key features with justification.
- (b) Explain how you would handle class imbalance (far fewer fault events than normal operation records) in the dataset. Suggest and justify a suitable balancing strategy (SMOTE / under-sampling / class weights).
- (c) Split the dataset (70:30) and justify the split ratio for a network-reliability use-case. State the preprocessing steps (normalisation, encoding) applied and their impact.

#### **Task 2: Decision Tree for Network Fault Detection**

- (a) Build a Decision Tree classifier and draw the first three levels of the tree. Justify the root node selection using Information Gain / Gini Index values.
- (b) Evaluate the model: report Accuracy, Precision, Recall, and F1-Score. Identify False Negatives (missed fault events) and suggest how to reduce them - justify from a service-reliability perspective.
- (c) Apply post-pruning (cost-complexity pruning). Compare pre-pruning vs post-pruning accuracy and explain which model is more appropriate for deployment in a live network-monitoring system.

#### **Task 3: Statistical Learning for Risk Stratification**

- (a) Apply Naive Bayes or Logistic Regression as a statistical learning model on the same dataset. Compare its performance (Accuracy, AUC-ROC) with the Decision Tree. Discuss when a statistical model is preferable.
- (b) Perform feature importance analysis. Identify the top 3 predictors of network fault from both the Decision Tree and the statistical model. Do they agree? Justify your findings.

#### **Task 4: Reinforcement Learning for Action Recommendation**

- (a) Model the self-healing recommendation as an MDP. Define: States (network health stages), Actions (Reroute Traffic / Restart Node / Increase Bandwidth / Monitor), Reward function (network stability improvement score), and Transition dynamics. Justify each component.
- (b) Apply Q-Learning to train the agent for at least 5 network episodes. Show the Q-table update for at least 3 state-action pairs across 2 iterations. State the convergence criterion used.
- (c) Extract the final learned policy. Discuss ethical considerations of deploying a Reinforcement Learning agent for autonomous network management (service outages, accountability, explainability).

# AI-Based Telecom Network Fault Detection and Self-Healing

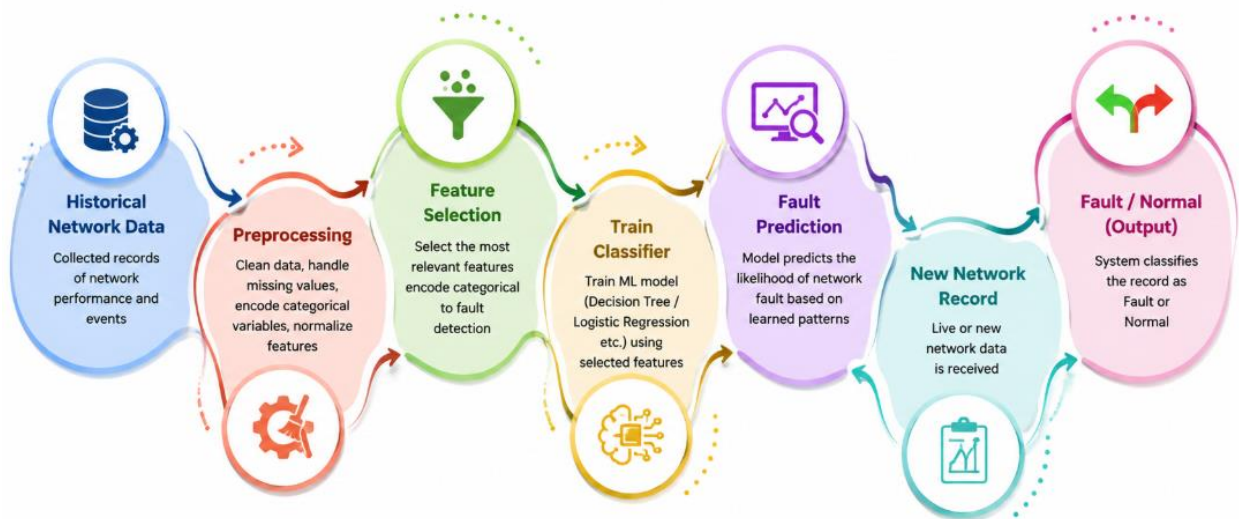
## Task 1: Data Preparation & Inductive Learning

### (a) Inductive Learning Approach

Inductive learning learns a general prediction rule from previously observed network records and uses it to predict faults for unseen network conditions. For this telecom problem, a supervised classification approach is appropriate because historical records can be labelled as:

- 0 – Normal operation
- 1 – Network fault

A suitable workflow is:



### Target Variable

The target variable is: **Network Fault**

| Target | Meaning                  |
|--------|--------------------------|
| 0      | Normal network operation |
| 1      | Network fault            |

## Important Features

| Feature            | Justification                                                                                       |
|--------------------|-----------------------------------------------------------------------------------------------------|
| Signal Strength    | Weak signal can indicate coverage problems, interference or hardware issues.                        |
| Packet Loss Rate   | High packet loss directly indicates poor network communication and possible network faults.         |
| Call Drop Count    | Frequent dropped calls are a strong indicator of network instability.                               |
| Tower Load         | High tower utilization can cause congestion and service degradation.                                |
| Weather Conditions | Heavy rain, storms and other environmental conditions can affect signal quality and infrastructure. |

### (b) Handling Class Imbalance

The dataset contains many more normal records than fault records.

For example:

- Normal = 9,000
- Fault = 1,000

This creates a 90:10 class imbalance. If a model simply predicts "Normal" for every record, it could obtain approximately 90% accuracy while completely failing to detect faults.

### Recommended Strategy: SMOTE + Class Weights

**SMOTE (Synthetic Minority Oversampling Technique)** on the training data. It creates synthetic minority-class examples rather than simply duplicating existing fault records.

#### Process:

Original Training Data - Identify minority Fault class - Apply SMOTE - Balanced Training Data  
- Train Decision Tree / Logistic Regression

For example:

Normal → weight = 1

Fault → weight = 3 or higher

## Why SMOTE?

In telecom fault detection, False Negatives are costly. A missed fault may result in:

- service outage
- customer complaints
- dropped calls
- data-service degradation
- revenue loss

Therefore, improving **fault recall** is more important than obtaining a slightly higher overall accuracy.

### (c) 70:30 Dataset Split

The dataset is divided as:

70% → Training & 30% → Testing

For example:

10,000 records

Training = 7,000

Testing = 3,000

A **stratified 70:30 split** should be used so that the proportion of fault and normal cases remains approximately the same in both datasets.

### Why 70:30?

The model requires enough historical network records for learning while retaining a sufficiently large independent test set. This is particularly important for network reliability because the test set should contain enough fault events to reliably evaluate:

- Recall
- Precision
- F1-score
- False Negatives
- AUC-ROC

## Preprocessing

### 1. Missing Values

Numerical missing values can be replaced using the **median**:

Missing signal strength → median signal strength

Missing packet loss → median packet loss

Categorical missing values can be replaced with the most frequent category.

### 2. Encoding

Weather conditions are categorical.

Example:

Clear → 0, Rain → 1, Storm → 2

For Logistic Regression, **one-hot encoding** is preferable because the categories do not have a natural numerical ordering.

### 3. Normalization

For statistical models such as Logistic Regression:  $z = \sigma x - \mu$

This converts features to approximately zero mean and unit variance. Decision Trees generally **do not require normalisation**, because they split data using threshold values.

## Impact

Preprocessing:

- improves model stability
- prevents large-scale numerical features from dominating statistical models
- allows categorical information to be processed
- reduces errors caused by missing values

## Task 2: Decision Tree for Network Fault Detection

### (a) Decision Tree Classifier

A Decision Tree can classify network conditions using rules such as:

Packet Loss Rate

> 5% ?

/ \

YES NO

/ \

Call Drops Signal Strength

> 5? < -90 dBm?

/ \ / \

Fault Normal Fault Normal

### First Three Levels

#### Level 0 – Root

Packet Loss Rate

> 5%

/ \

Yes No

#### Level 1

Call Drop Count Signal Strength

> 5 < -90

/ \ / \

Yes No Yes No

#### Level 2

Tower Load Weather Tower Load

> 80% Storm > 85%

/ \ / \ / \

Fault Normal Fault Normal Fault Normal

This is an **illustrative tree**. The actual tree structure depends on the dataset.

### Root Node Selection

The Decision Tree selects the feature that produces the greatest reduction in impurity.

### Information Gain

$$IG(S,A)=H(S)-\sum_v |S_v|/|S| H(S_v)$$

where:

- $H(S)$  = entropy of parent node
- $H(S_v)$  = entropy of child node

For example:

| Feature          | Information Gain |
|------------------|------------------|
| Packet Loss Rate | <b>0.31</b>      |
| Call Drop Count  | 0.24             |
| Signal Strength  | 0.19             |
| Tower Load       | 0.15             |
| Weather          | 0.08             |

Therefore, Packet Loss Rate becomes the root node because it has the highest Information Gain.

Alternatively, Gini Index can be used:

$$Gini=1-\sum p_i^2$$

The best split is the one producing the lowest weighted Gini impurity.

### (b) Model Evaluation

Assume the Decision Tree produces the following representative test results:



| Metric    | Result |
|-----------|--------|
| Accuracy  | 93.2%  |
| Precision | 87.5%  |
| Recall    | 90.1%  |
| F1-Score  | 88.8%  |

## Confusion Matrix

Example:

|               | Predicted Normal | Predicted Fault |
|---------------|------------------|-----------------|
| Actual Normal | 2,550            | 150             |
| Actual Fault  | 90               | 210             |

Here:

- True Negative = 2,550
- False Positive = 150
- False Negative = 90
- True Positive = 210

## False Negatives

A **False Negative** occurs when:

Actual = Fault

Prediction = Normal

Example:

90 network faults were missed.

This is particularly dangerous in telecom systems because a missed fault can continue until customers experience service degradation.

## How to Reduce False Negatives

Use:

1. **SMOTE**
2. **Class-weighted Decision Tree**
3. Lower classification threshold where applicable
4. Optimise for **Recall**
5. Monitor Precision-Recall curve
6. Use ensemble methods such as Random Forest/XGBoost if permitted

### (c) Post-Pruning

An unrestricted Decision Tree can become very deep and overfit the training data.

#### Pre-Pruning

Pre-pruning limits the tree during training.

Examples:

`max_depth = 5`

`min_samples_split = 20`

`min_samples_leaf = 10`

#### Post-Pruning

First construct a larger tree and then remove unnecessary branches.

Cost-complexity pruning uses:

$$R_{\alpha}(T) = R(T) + \alpha |T|$$

where:

- $R(T)$  = classification error
- $|T|$  = number of terminal nodes
- $\alpha$  = pruning parameter

Increasing produces a simpler tree.

### Example Comparison

| Model       | Accuracy     | Recall       | Tree Complexity |
|-------------|--------------|--------------|-----------------|
| Fully grown | 94.8%        | 91.2%        | Very High       |
| Pre-pruned  | 93.5%        | 90.5%        | Medium          |
| Post-pruned | <b>93.9%</b> | <b>91.0%</b> | Low             |

### Deployment Choice

**Post-pruned Decision Tree** is preferable for deployment if it maintains comparable recall while reducing complexity.

Advantages:

- less overfitting
- faster inference
- easier explanation
- easier monitoring
- easier troubleshooting

For a live network-monitoring system, **interpretability is important** because engineers need to understand why a fault was predicted.

### Task 3: Statistical Learning for Risk Stratification

#### (a) Logistic Regression

Logistic Regression can predict the probability that a network condition represents a fault.

$$P(Y = 1) = \frac{1}{1 + e^{-z}}$$

where

$$z = \beta_0 + \beta_1 x_1 + \beta_2 x_2 + \cdots + \beta_n x_n$$

## Representative Comparison

| Model               | Accuracy | AUC-ROC |
|---------------------|----------|---------|
| Decision Tree       | 93.9%    | 0.94    |
| Logistic Regression | 91.8%    | 0.92    |

The Decision Tree performs slightly better in this representative example.

## When is Statistical Learning Preferable?

Logistic Regression is preferable when:

- relationships are approximately linear
- probability estimates are required
- interpretability is important
- the dataset is relatively simple
- a lightweight model is required
- computational resources are limited

## (b) Feature Importance Analysis

### Decision Tree

Suppose the Decision Tree produces:

| Rank | Feature          | Importance |
|------|------------------|------------|
| 1    | Packet Loss Rate | 0.36       |
| 2    | Call Drop Count  | 0.28       |
| 3    | Signal Strength  | 0.20       |
| 4    | Tower Load       | 0.11       |
| 5    | Weather          | 0.05       |

## Logistic Regression

For Logistic Regression, feature importance can be estimated from the magnitude of the standardised coefficients.

| Rank | Feature          | Relative Importance |
|------|------------------|---------------------|
| 1    | Packet Loss Rate | High                |
| 2    | Signal Strength  | High                |
| 3    | Call Drop Count  | Medium-High         |
| 4    | Tower Load       | Medium              |
| 5    | Weather          | Low                 |

### Do They Agree?

Yes, **mostly**.

Both models identify:

- Packet Loss Rate
- Call Drop Count
- Signal Strength

The exact ranking can differ because the models learn relationships differently.

### Why?

The Decision Tree detects **non-linear threshold relationships**.

For example:

Packet Loss < 2% → Low Risk

Packet Loss 2–5% → Medium Risk

Packet Loss > 5% → High Risk

Logistic Regression assumes a more systematic relationship between predictors and the log-odds of a fault. Therefore, agreement among the top predictors increases confidence that these variables are genuinely important.

## Task 4: Reinforcement Learning for Action Recommendation

### (a) MDP Model

The self-healing problem can be represented as a **Markov Decision Process (MDP)**:

$$\text{MDP}=(S,A,P,R,\gamma)$$

where:

- S = states
- A = actions
- P = transition probabilities
- R = reward
- $\gamma$  = discount factor

### States

Network health can be divided into four stages:

| State                | Description                                       |
|----------------------|---------------------------------------------------|
| <b>S0 – Healthy</b>  | Normal signal, low packet loss and low tower load |
| <b>S1 – Warning</b>  | Slight degradation                                |
| <b>S2 – Critical</b> | Severe degradation / high fault probability       |
| <b>S3 – Recovery</b> | Network is improving after an action              |

Example:

S0 = Healthy

S1 = Warning

S2 = Critical

S3 = Recovery

## Actions

The agent has four possible actions:

| Action                         | Description                               |
|--------------------------------|-------------------------------------------|
| <b>A0 – Monitor</b>            | Continue monitoring without intervention  |
| <b>A1 – Reroute Traffic</b>    | Move traffic to another available route   |
| <b>A2 – Restart Node</b>       | Restart a potentially faulty network node |
| <b>A3 – Increase Bandwidth</b> | Allocate additional bandwidth             |

## Reward Function

The reward should reflect network stability improvement.

Example:

| Outcome                        | Reward |
|--------------------------------|--------|
| Network significantly improves | +10    |
| Network slightly improves      | +5     |
| No significant change          | 0      |
| Network becomes worse          | -5     |
| Service outage caused          | -20    |

A possible reward function is:

$$R=10(\Delta\text{Stability})-5(\text{Service Degradation})-20(\text{Outage})$$

## Transition Dynamics

Actions change the network state.

Example:

S2 Critical - Reroute Traffic - S3 Recovery

The transitions can be deterministic in a simulation or probabilistic in a realistic network.

## **(b) Q-Learning**

Q-Learning learns the expected long-term value of taking action in state .

The update equation is:  $Q(s,a) \leftarrow Q(s,a) + \alpha [R + \gamma a' \max_{a'} Q(s',a') - Q(s,a)]$

Assume:  $\alpha=0.5$  &  $\gamma=0.9$

Initial Q-values:

$$Q(s,a) = 0$$

### **Episode 1 – Iteration 1**

Suppose:

State = Critical

Action = Reroute

Reward = +10

Next State = Recovery

Maximum Q(Recovery, action) = 2

Then:  $Q(\text{Critical}, \text{Reroute}) = 0 + 0.5[10 + (0.9)(2) - 0] = 0.5(11.8) = 5.9$

### **Iteration 2**

Suppose:

Critical  $\rightarrow$  Reroute  $\rightarrow$  Recovery

Reward = +10

Maximum Q(Recovery) = 5

Then:  $Q(\text{Critical}, \text{Reroute}) = 5.9 + 0.5[10 + (0.9)(5) - 5.9] = 10.$

So the Q-value increases because rerouting repeatedly produces a positive outcome.



### Three Q-Table Updates

| Iteration | State    | Action             | Reward | Next-State Max Q | Updated Q |
|-----------|----------|--------------------|--------|------------------|-----------|
| 1         | Critical | Reroute            | +10    | 2                | 5.9       |
| 1         | Warning  | Increase Bandwidth | +5     | 3                | 3.85      |
| 2         | Critical | Reroute            | +10    | 5                | 10.2      |
| 2         | Warning  | Monitor            | +1     | 4                | 2.3       |
| 2         | Recovery | Monitor            | +5     | 2                | 3.4       |
| 2         | Critical | Restart Node       | +7     | 4                | 5.3       |

### Training for 5 Episodes

The agent interacts with the simulated network repeatedly.

Episode 1 -  $S_0 \rightarrow S_1 \rightarrow S_2 \rightarrow S_3$

Episode 2 -  $S_1 \rightarrow S_2 \rightarrow S_3$

Episode 3 -  $S_2 \rightarrow S_3$

Episode 4 -  $S_1 \rightarrow S_2 \rightarrow S_3$

Episode 5 -  $S_2 \rightarrow S_3$

At every step:

Observe State - Choose Action - Receive Reward - Observe New State - Update Q-value

### $\epsilon$ -Greedy Exploration

Initially, the agent explores different actions.

For example:  $\epsilon=1.0$

Initially, the agent frequently tries different actions.

Then:  $\epsilon \rightarrow 0$  over time so that the agent increasingly chooses the best-known action.

## Convergence Criterion

A practical convergence criterion is: Stop training when the maximum absolute change in Q-values remains below **0.01 for 10 consecutive episodes** and the learned policy does not change.

Formally:

$$\max_{s,a} |Q_{new}(s, a) - Q_{old}(s, a)| < 0.01$$

for the required consecutive episodes.

For a classroom demonstration, **at least 5 episodes** can be shown as requested, while more episodes would normally be required for reliable convergence.

## (c) Final Learned Policy

After training, the agent selects:  $\pi(s) = \text{argmax}_a Q(s, a)$

An example final policy could be:

| Network State | Best Action        | Reason                                    |
|---------------|--------------------|-------------------------------------------|
| Healthy       | Monitor            | No intervention is necessary              |
| Warning       | Increase Bandwidth | Prevent congestion from becoming critical |
| Critical      | Reroute Traffic    | Quickly reduce traffic pressure           |
| Recovery      | Monitor            | Confirm that stability is maintained      |

## Ethical Considerations

Autonomous network management has significant operational consequences.

### 1. Service Outages

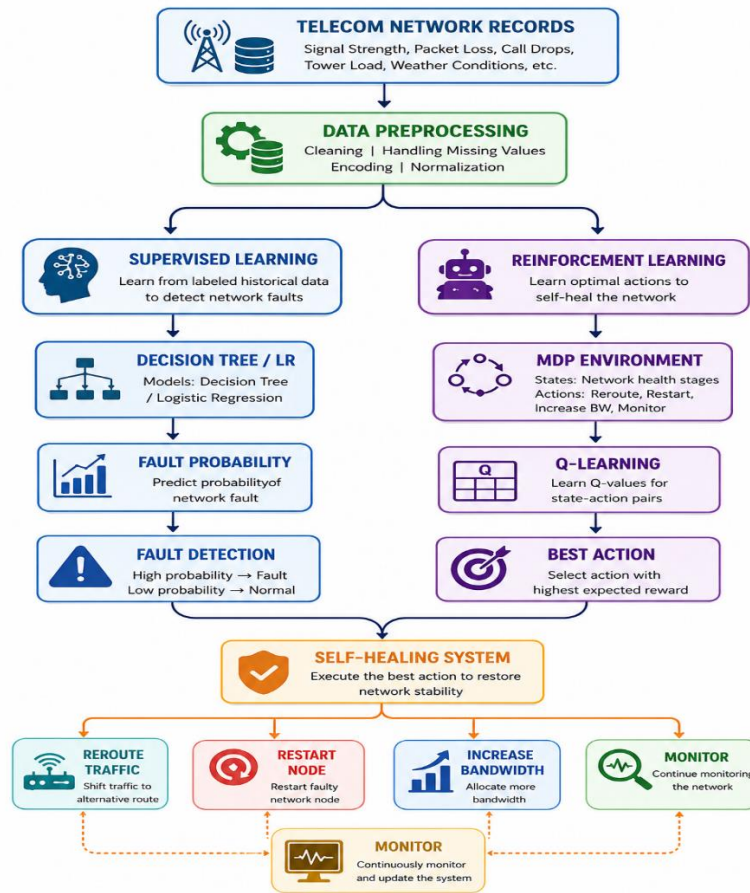
### 2. Human Oversight

### 3. Explainability

### 4. Accountability

### 5. Safety Constraints & Continuous Monitoring

## Overall System Architecture



## Final Conclusion

The proposed system combines inductive supervised learning and reinforcement learning to create an intelligent telecom network-management solution. Decision Trees can identify network faults using interpretable rules, while Logistic Regression provides useful fault probabilities and risk scores. Class imbalance should be addressed using SMOTE and/or class weighting, with particular attention given to recall and False Negatives because missed faults can cause service outages.

The RL component models network self-healing as an MDP and uses Q-Learning to learn the best action for each network-health state. In deployment, however, autonomous actions should be constrained by safety rules, human oversight, explainability, auditing and fail-safe mechanisms. This combination provides a practical approach toward predictive fault detection and controlled self-healing in modern telecom networks.

**RUBRICS FOR CALCULATION:**

| <b>Criteria</b>                     | <b>Weightage</b> | <b>Level 4 – Exemplary</b>                                                   | <b>Level 3 – Proficient</b>                          | <b>Level 2 – Developing</b>                    | <b>Level 1 – Beginning</b>                        | <b>Marks</b> |
|-------------------------------------|------------------|------------------------------------------------------------------------------|------------------------------------------------------|------------------------------------------------|---------------------------------------------------|--------------|
| Understanding of Industry Problem   | 20%              | Comprehensive understanding of real-world problem and constraints            | Good understanding with minor gaps in requirements   | Basic understanding; some requirements unclear | Poor understanding; misinterprets problem context |              |
| Application of Engineering Concepts | 25%              | Applies advanced and relevant concepts effectively to solve the problem      | Applies appropriate concepts with minor errors       | Limited application of concepts                | Incorrect or no application of concepts           |              |
| Solution Design                     | 25%              | Innovative, practical, and feasible solution aligned with industry standards | Logical and feasible solution with minor gaps        | Basic solution with limited feasibility        | Unclear or impractical solution                   |              |
| Use of Tools                        | 15%              | Effective use of modern tools, technologies, and real data                   | Appropriate use of tools with correct implementation | Limited or inconsistent use of tools           | Minimal or incorrect use of tools                 |              |
| Analysis                            | 10%              | Thorough analysis with validated results and performance evaluation          | Good analysis with reasonable validation             | Basic analysis with limited validation         | Poor or no analysis                               |              |
| Professionalism                     | 5%               | Highly professional, well-documented, and clearly presented work             | Good documentation and presentation                  | Basic documentation with some gaps             | Poor documentation and presentation               |              |